INTRODUCTION

Income enhancement does not automatically bring in development, rather it needs support of a conscious public policy with committment of good governance. After the worlds acceptance of welfare economics the standard of life of the masses has emerged as a popular measuring scale of development for the economies–to a great extent, synonymous to the UNDP concept of human development.[1]

The Government of India has been conscious ever since Independence about the development of the social sector which includes areas like, health, education, shelter, social welfare, social security etc. Once the economy went for the process of economic reforms, a higher emphasis was felt on these areas by the government and experts alike. Increasing emphasis on the social sector is clearly visible from 1991 onwards.[2]

The ultimate objective of development planning is human development or increased social welfare and well-being of the people. Increased social welfare of the people requires a more equitable distribution of development benefits along with better living environment. Development process therefore needs to continuously strive for broad-based improvement in the standard of living and quality of life of the people through an inclusive development strategy that focuses on both income and non-income dimensions. The challenge is to formulate *inclusive* plans to bridge regional, social and economic disparities. The Eleventh Five Year Plan sought to address this challenge by providing a comprehensive strategy for inclusive development, building on the growing strength of the economy. This strategy has to be continued and consolidated further in the Twelfth Five Year Plan. The Approach Paper to the Twelfth Five Year Plan (2012–17) rightly stresses the need for more infrastructural investment with the aim of fostering a faster, sustainable and more inclusive growth.

This chapter focuses on issues related to **‘inclusive development’** in India and uses both international as well as inter–state comparisons to shed light on the subject. Apart from highlighting the international position of India vis-à-vis other emerging market economies and similarly placed countries